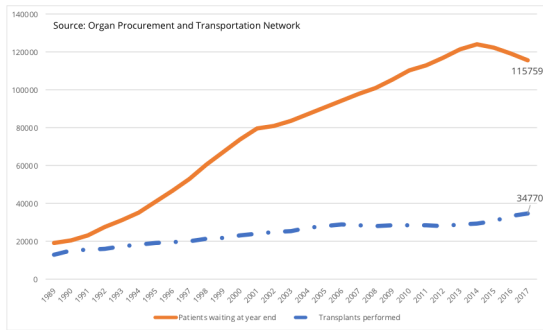




Consumer and Producer Surplus

Chapter 4

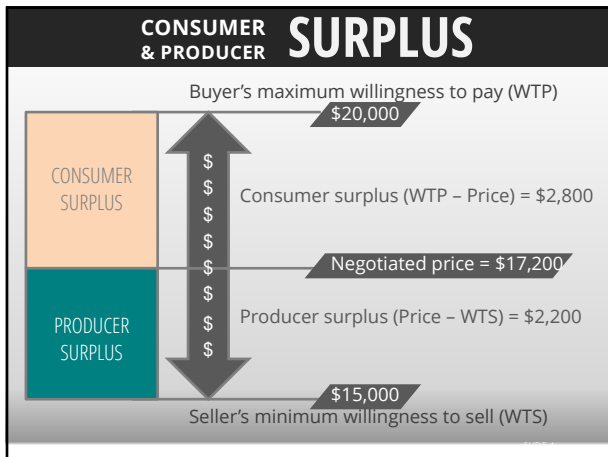
Kidneys for sale

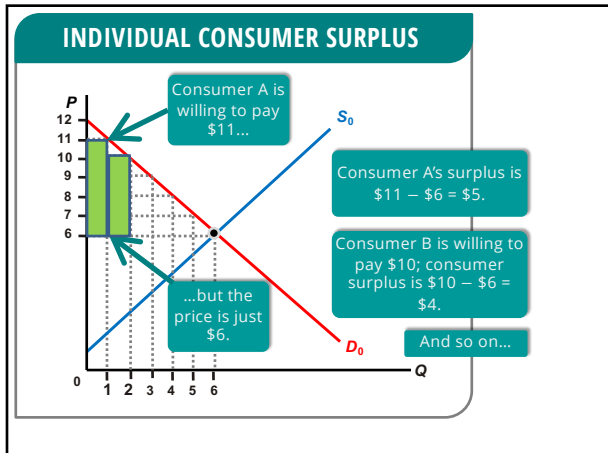
What would be the best way to regulate kidney donation in the US?

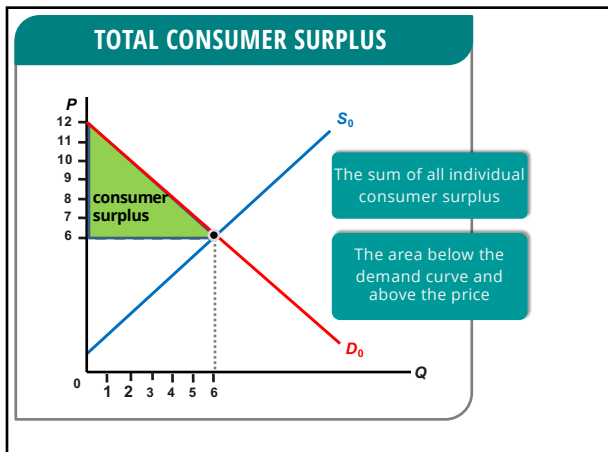
- a) As is: voluntary w/ no compensation
- b) Light modification: Allow coverage of medical expenses
- c) Iran model: Allow cash payments within government regulated market
- d) Free market: Buy and sell

Learning objectives

- How to calculate [consumer surplus](#) and [producer surplus](#)
- What [deadweight loss](#) is
- When markets lead to [efficiency](#)
- Types of [market failures](#)







Buy some new shirts, George!

George wants to buy some new shirts for work. He is willing to pay \$35 for the first shirt, \$25 for the second shirt, and \$15 for the third.

Oxford & Co. (his favorite shirt shop!) sells shirts for \$28 each.

What is the efficient number of shirts for George to buy?

- a) 0
- b) 1
- c) 2
- d) 3



What is his consumer surplus?

Calculating consumer surplus

Mark and Rasheed are buying new calculators for Math 19. Mark is willing to pay \$75 and Rasheed is willing to pay \$100 for a graphing calculator. The price for a calculator at the bookstore is \$65. How much is their total consumer surplus?

- a) \$10
- b) \$35
- c) \$45
- d) \$60

PS – you can buy a non-graphing calculator for EC12 for only \$10 on Amazon!

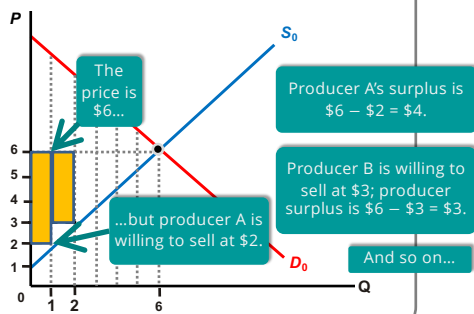
Figure: The Market for Hamburgers



If the price of hamburgers is \$2, consumer surplus will equal:

- a) \$650
- b) \$400
- c) \$225
- d) \$450

INDIVIDUAL PRODUCER SURPLUS



TOTAL PRODUCER SURPLUS

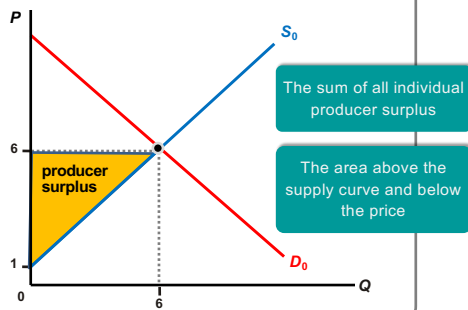
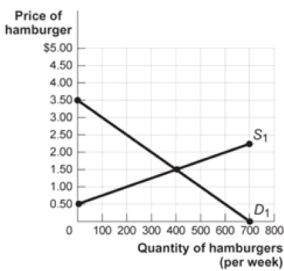


Figure: The Market for Hamburgers



If 400 hamburgers are sold, producer surplus will equal

- a) \$650
- b) \$400
- c) \$510
- d) \$200

Figure: The Market for Hamburgers



If the price falls from \$1.50 to \$1, what is the loss in PS

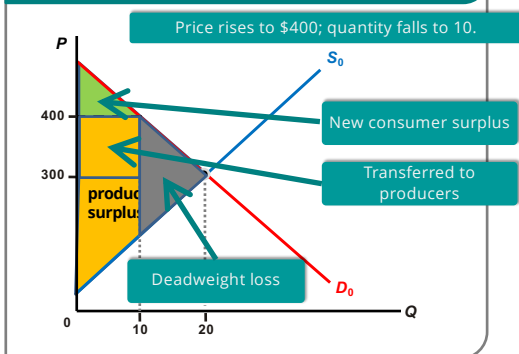
- a) \$50
- b) \$45
- c) \$75
- d) \$90

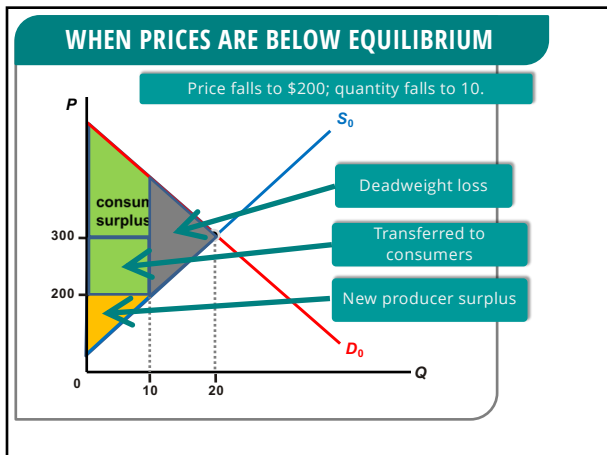
TOTAL SURPLUS

When markets are efficient, TS is MAXIMIZED!

$$TS = CS + PS$$

WHEN PRICES EXCEED EQUILIBRIUM





Efficiency of Markets

- Competitive markets are usually efficient:
 - Allocate consumption to the potential **buyers who most value it**.
 - Allocate sales to potential **sellers** who most value right to sell the good (e.g., **who have the lowest cost**).
 - They ensure that **all transactions are mutually beneficial**

Why markets *typically* work so well

- Well-functioning markets are effective because of:
 - Property rights:** the rights of owners of valuable items, whether resources or goods, to use those items as they choose.
 - Economic signals:** any piece of information that helps people make better economic decisions.

Four sources of market failures

Markets will not be efficient in the presence of **market failures!**

- Lack of competition
- Information not shared by all parties
- Existence of external benefits/costs (externalities)
- Existence of public goods
